

system. If today—only six years afterwards—the United States finds itself enjoying an unparalleled prosperity from coast to coast, it is well for us all to remember the efficient and courageous work that the Federal Reserve system performed in the very gloomy years of 1920 and 1921, when pessimistic prophets were not backward in assuring us that America's brief heyday of war prosperity was the last that this generation might see. In these days of our prosperity it is only just and fitting to recall the institutions which, in that time of severe depression, came most powerfully and effectively to the assistance of American business.

Although the fact is not so often recognized, the New York Stock Exchange belongs to this same group of institutions which are particularly useful to the entire American business community during periods of pressure and strain. Based on its own past record, I have no hesitation in saying that should American business be seriously menaced in the future, the Stock Exchange will be found fighting shoulder to shoulder with the Federal Reserve system and other constructive institutions of the land to restore, preserve, and to sustain business prosperity. The New York Stock Exchange was not, of course, created in the last twenty years—it was founded over a century ago. Yet within the past twenty years the Stock Exchange has experienced an expansion in its machinery and a perfection in its technique that have been truly remarkable, and that have rendered it the thoroughly national and democratic financial institution which it is today. But it has not been my purpose to come here tonight so much to praise the Stock Exchange and its operations, as to explain them. Accordingly, I wish to call to your attention some of the principal ways in which the Stock Exchange today serves to render all American business a more constant and stable proposition.

One of the greatest services in behalf of business stability which the New York Stock Exchange performs, lies in the important part it plays in directing investment capital into the particular lines of business where it is needed and